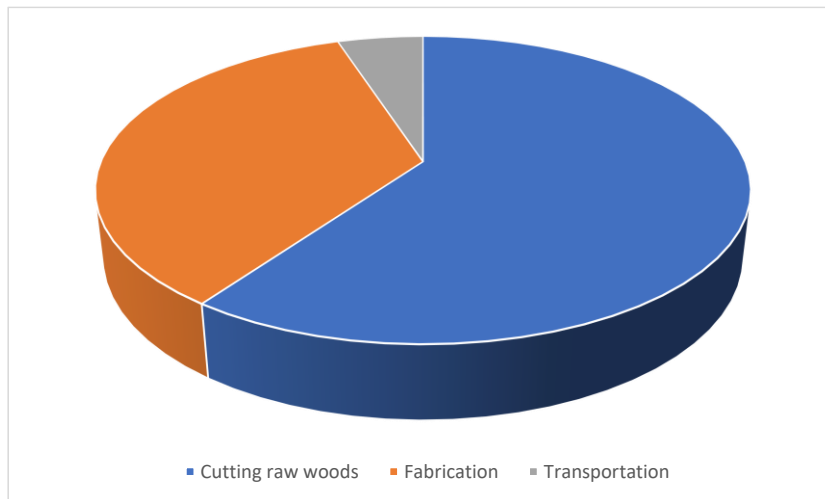


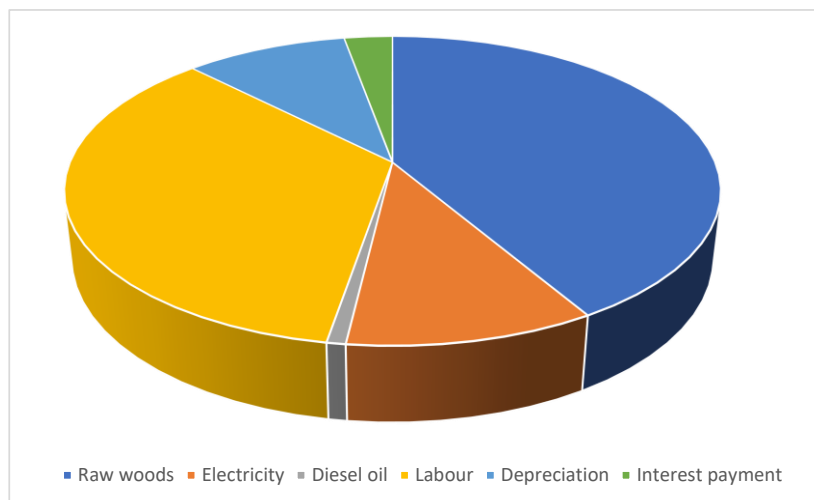
- iii. Looking at cost items, the cost of raw woods procurement will be highest share at 42%, followed by labour cost at 35%, electricity cost of the fabrication department at 10% (refer to figure 5-2). For this analysis, \$35 per tonne is assumed for raw wood costs and this assumption will be crucial to maintain the economics of this business model.
- iv. This business model will be operating cost-oriented not capital cost-oriented (refer to figure 5.1); thus, management of raw wood cost, labour cost, and electricity cost is essential. Few variations of capital cost will not affect this business seriously.
- v. Assumed selling price of wood pellet is \$100 per tonne and appropriate.

Figure 5.1. Operating Cost Structure by the Three Departments of A Company



Source: Author.

Figure 5.2. Operating Cost Structure by the Cost Items of a Company



Source: Author.